

Customer Prioritisation Under Supply Constraints

Executive summary | Applied consulting case developed as part of an MBA master thesis

Business challenge

A semiconductor supplier operating under constrained supply needs a transparent way to decide which automotive customer programmes should receive priority. Revenue-only or urgency-led decisions can overlook regulatory eligibility, contractual exposure, strategic value, qualification lock-in, demand stability and risk.

Framework

The case develops a two-stage decision system. Stage 1 applies a non-compensable eligibility gate covering destination, end-user, route, payment and ownership. Stage 2 scores eligible programmes across six weighted commercial criteria using a 1-3-5 scale. Weights change across immediate, recovery and future horizons.

Decision output

Each programme is placed into one of four action bands: Protect, Support, Manage or Defer. This converts a complex allocation discussion into a repeatable governance process with clear ownership, explainable trade-offs and measurable service targets.

Illustrative findings

The application shows that priority is dynamic. One programme declines as its lifecycle matures, while another gains importance in the future horizon. A commercially attractive programme can still fail the eligibility gate, demonstrating that regulatory feasibility must precede value optimisation.

Management relevance

The framework can support allocation of scarce supply, commercial attention or investment. It improves consistency, reduces ad hoc escalation, supports steering-committee decisions and creates a defensible basis for customer communication.

Implementation

Recommended governance includes cross-functional ownership, rapid decision turnaround, limited override, and fulfilment targets by priority band. The framework should be validated and recalibrated with internal ERP, profitability, contractual and customer data before operational deployment.

Prepared by Himanshu Shekhar | Commercial Excellence and B2B Sales Transformation